Econ0007: Quiz 3 (non-assessed)

You have 30 minutes to complete this quiz during your tutorial. The quiz is divided into two parts: Part A: Multiple-Choice Questions and Part B: Short-Answer Questions. You must submit all your answers on **one single A4 sheet of paper**.

Please write your **full name**, **student number**, **email address** and **tutorial day and time** at the top of your sheet.

This quiz is formative, and the marks ***do not*** count towards your overall grade. This is a **closed-book exercise**, designed to simulate exam conditions. So you should not use your **mobile phones, computers, or textbook.**

Part A: Multiple-Choice Questions

There are 12 questions in this section. You will receive **2 marks** for each correct answer. **1 mark** will be deducted for each incorrect answer. If you do not attempt a question, you will receive **0 marks** for that question.

1. Which of these statements is correct?

A. Remittance are included in the capital account.
B. Interest earned on foreign bonds is included in the current account.
C. None of the above

Any income earned from foreign assets, including multinationals, bonds, loans and shares is part of current account.

2. Which of these elements is included in the capital account?

A. Import of services
B. Long-term bank loans
C. None of the above

3. Mexico has a flexible exchange rate and its inflation has been 3% higher than the US in 2017. Based on this economic information, which of these statements is correct? (assume Mexico's current account was in balance at the beginning of 2017).

A. Mexico's current account would go into surplus in the short-term.
B. Peso would depreciate by 3% in the long-term and Mexico's current account deficit would reduce.
C. None of the above

4. Official reserve transactions of Turkey has been $2 billion in 2017. This means the central bank's holding of foreign exchange reserves has decreased.

A. True
B. False
C. It depends on the current account balance

Answer: A. For accounting reasons, positive official reserve transactions means official reserves going down, and negative official reserve transactions means official reserves going up.

5. Which of the following options indicates an appreciation of the real exchange rate?

A. Increasing capital inflows
B. Increasing price of domestic goods relative to foreign goods
C. None of the above

6. Which of these statements is correct?

A. Profits made by multinational firms are included in the capital account
B. Export revenues are included in the capital account
C. None of the above

Answer: C. Profits made by multinationals are included in the current account. Any income/profit made on foreign assets is included in the current account.

7. Which of these statements is correct?

A. Central banks can devalue their own currency by increasing its supply in the currency market
B. Central banks can appreciate their own currency by buying foreign currencies in the currency market
C. None of the above

8. Country X is following a fixed exchange rate regime and has an open capital account. Thus, that country has no independence in monetary policymaking.

A. True
B. False
C. It depends if country X is a large or small economy

The impossible trinity.

9. This is the economic data for country X in 2019:

Capital account balance: $22 billion
Decrease in foreign exchange reserves: $10 billion

Based on this information, what was the current account balance in 2019?

A. -$12 billion
B. -$32 billion
C. It is not possible to answer this question on the basis of given information

Answer B. 22+10+x=0, so x=-32

10. Which of these statements is correct?

A. Fixed exchange rate means the nominal value of currency is determined by demand and supply.
B. Flexible exchange rate ensures that in the long-term current account would be in balance.
C. None of the above

11. Country X has run a current account deficit equalling 10% of its GDP in 2017. Which of these statements is correct?

A. There is a major risk that country X eventually runs out of foreign exchange reserves.
B. Country X has been earning more than its spending
C. None of the above

B is obviously incorrect. A only applies when the country has been running *a persistent* current account deficit for several years in a row. However, we only know that country X has run a currency account deficit in 2017, on the basis of this information alone, it is wrong to conclude A.

12. Country X has a fixed exchange rate and a growing current account deficit due to having a much higher inflation rate than its major trading partners. Which of these policies can reduce the country's current account deficit?

A. Reducing domestic interest rate
B. Devaluation
C. None of the above

One way to fight a growing current account deficit is to devalue your currency. We discussed this in the economic crises lecture under "pre-emptive devaluation". See slide 17 of that lecture.

Part B: Short questions.

You must answer **one** of the following questions. Do not exceed one side of an A4 sheet of paper.

You need to answer both questions. To do so, you *often* need to rely on the material covered in the lectures, tutorials, and readings.

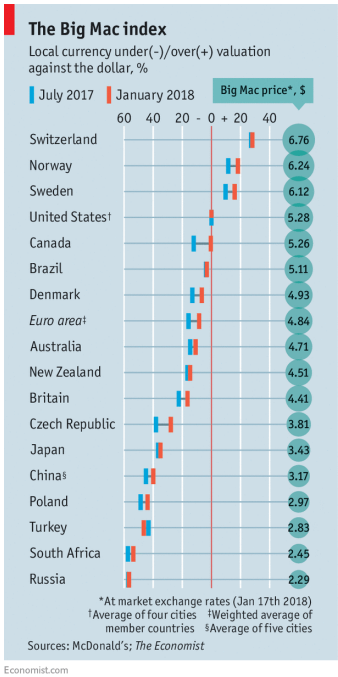
1. China has been running a persistent current account surplus in the past two decades. Discuss the downside of this for Chinese citizens.

A persistent current account surplus means that China more than it imports and saves more than it spends domestically. One downside for Chinese citizens is that resources are directed towards producing goods for foreign consumers rather than improving domestic consumption and living standards. In practice, this can mean lower household consumption, suppressed wages, and high savings rates. In other words, Chinese citizens effectively lend to the rest of

the world—often by accumulating foreign assets such as US Treasury bonds—instead of enjoying higher consumption at home.

One way to think about this is with a simple metaphor. Imagine a household that continuously works hard, earns more than it spends, and keeps saving more and more every year. Some saving is clearly sensible—it provides security for a rainy day. But the purpose of saving is ultimately to allow the household to spend more and improve its well-being in the future. If the household only accumulates savings but rarely uses them to raise its living standard, the question arises: what is the point of all that extra saving? A persistent current account surplus raises a similar issue at the national level.

2. Imagine you are currency trader in a bank in New York. Based on the economic information provided below, which currencies do you decide to buy and which currencies do you decide to sell? Explain (word limit: 250 words)



I would buy the most undervalued currencies, namely Russia, South Africa, Turkey and Poland. Because, according to the trade-based theory of trade, the value of these currencies would appreciate relative to the dollar in the long-term. So I will exchange my dollars to those currencies now and when the value of those currencies goes up in the future I will convert (sell) those currencies back to the dollar and, in doing so, make a lot of money.

And at the same time, if having any, I would sell the overvalued currencies (Switzerland, Norway and Sweden).

Importantly however, this trading strategy works only for countries that follow a flexible exchange rate system, because only then trade-based theory of exchange rate (PPP) holds. (So, for instance, I wouldn't buy Chinese currency, although being highly undervalued, because China doesn't follow a flexible exchange rate policy).